IRRs in buyout funds averaged 17% in the 1980s, peaked at 50% in 1990, and tended to decline over the 1990s. In 1996, the buyout IRR was close to zero. In the early 2000s, buyout IRRs reached 22% but since 2006 have been approximately zero. The IRRs for VC funds were stratospheric, above 70%, during the mid-1990s. Since the 2000s high-tech crash, VC IRRs have been hovering at, or just above, zero.

Any student taking an introductory MBA finance course is advised by professors not to use IRRs. One well-known problem is that the IRR assumes cash flows can be reinvested at the IRR. IRRs are also distorted by the timing of cash flows. In PE, these problems really bite. *IRRs are not returns*.

As Joshua Lerner says:[12]

> When you look at how people report performance, there's often a lot of gaming taking place in terms of how they manipulate the IRR.

Consider an investment where at time 0 an investor puts in \$100 in a fund and at time 1 receives back \$150:[13]

Date	**0**	**1**	**2**	**3**	**4**	**5**
	–100	150				

If the investor exits at time 1, the IRR is 50%. Now suppose there is an investment opportunity that earns 25% per year for four more years. This is a great return, and the investor would prefer to keep all her money in the fund until year 5, where it compounds to \$366.

Date	**0**	**1**	**2**	**3**	**4**	**5**
	–100					366

If the GPs did this, the IRR would be 30%. Although it is better for the asset owner to remain invested until time 5, the GP prefers to exit early at time 1. Early exit happens in real life, as Gompers (1996) and Lee and Wahal (2004) show. Buyout funds have incentives to pay early dividends, which push cash flows earlier in the IRR computation. This may destroy value, but it inflates IRRs.[14]

GPs misuse IRRs in other ways. IRRs can be computed at the vintage level, which pools all funds within a given vintage, rather than computing the IRR of each fund separately. Grouping funds together hides poorly performing funds. If a

[12] As reported in "We Have Met the Enemy . . . And He Is Us: Lessons from Twenty Years of the Kauffman Foundation's Investments in Venture Capital Funds and the Triumph of Hope over Experience," Ewing Marion Kauffman Foundation, May 2012.

[13] This example is adapted from Phalippou (2008).

[14] See Phalippou (2009).